

CRIPPLING NTBs THAT HURT INDIA



USA

- Is wary about the risks surrounding supply of foodstuff. India has to either give prior notification of such shipments or lose out on dairy product exports.
- Is fussy about special labels on garments with details on size, make and their font.
- Doesn't like foreign banks doing more than just lending and borrowing.
- Is holding back tax breaks for IT companies outsourcing work to India. Indian software majors lose out on jobs and revenues.



EUROPE

- Resorts to seizure of transit shipments of drugs.
- Bars professionals from outside the EU from moving freely within EU.
- Wants to protect health and environment through the new REACH Act. India will have to bear a heavy cost for export of chemicals.
- Is cautious about cadmium in marine products. Fishery products to face rejection.



JAPAN

- Is sensitive about use of hormones in livestock—India can't export meat.
- Takes protection of public health very seriously. Indian pharma companies have to keep inventory of drugs for five years to get access to the market.



CHINA

- Is apprehensive about the prevalence of foot and mouth disease among Indian cattle. Indian dairy products find it difficult to enter the country's market.



CANADA

- Concern over public health drives elaborate labelling norms on food items. It particularly hurts India's export of spices.

the institute's "Review of Trade Policies of India's Major Trading Partners" to reveal that the EU maintains as many as 17 goods-related NTBs and 10 services-related NTBs and the US uses a total of 13 NTBs for goods and nine for services in its market. Abhijit Das, trade specialist, UNCTAD, cites a survey on NTBs covering 500 companies which finds the US, the UAE, the UK, Germany, Australia, China to be the most prolific users. "The worst-affected industry segments are textiles, leather, electrical and electronic equipment, food, pharma and chemicals," says Das. Agrees Rakesh Vaid, chairman, Usha Fabs Pvt Ltd, "The EU is particular about the use of the language on the labels. Now there are 27 countries in the EU. That means I have to use a different label for various destinations."

Of course, industry is not giving up so fast. In March, FICCI President Rajan Bharti Mittal made it clear to the EU trade commissioner that Indian business is firmly against including labour standards, environment and climate change-related issues in the EU-India free trade agreement (FTA). "While we do not undermine the importance of non-trade issues per se, the point is they cannot be linked with trade and investment and have to be addressed at appropriate forums," says Mittal.

Ministry of Commerce sources estimate the damage in complying with the NTBs to be in the area of 1 per cent to 1.5 per cent of India's exports at any given time while the cost of complying with a new European standard on chemicals could be anything between €85,000 and €3,25,000 (Rs 36,044.86 to Rs 1,94,69,631.7) per chemical that affects mostly small and medium enterprises. Obviously, all this makes NTBs a little more difficult to handle. The NTBs are bringing more and more goods as well as services in their grip—from textiles and clothing in the 70s and 80s to spices, grapes, dairy products, steel, cars, shoes, chemicals, and alcoholic drinks. What is more dangerous, says CH Director General Chandrajit Banerjee, is that NTBs are creeping into trade negotiations like FTAs. "We understand and respect

markets very easily," rues Mitra.

Even as India contests the West's move to curb the free flow of goods and services to developing countries, Thomas J. Donohue, president and CEO, US Chamber of Commerce, is quick to point out that there are significant tariff barriers here in India too. "In both countries there are NTBs which are either intended or non-intended to protect domestic industries. Once the level of trust and the level of trade expands, you will see both the barriers going," he says.

Well, that looks far away if one considers the magnitude of the barriers to market access, according to Biswajit Dhar, director general, RIS, who sees NTBs as a "deterrent to enhanced global trade". According to Dhar, NTBs have mushroomed from a mere 389 in 1995 to 1,895 in 2009. Chairman of the Indian Institute of Foreign Trade, K.T. Chacko, quotes

COMMERCE MINISTER ANAND SHARMA WITH EU COMMISSIONER FOR TRADE KAREL DE GUCHT IN NEW DELHI

study carried out by the Research and Information Systems (RIS) estimates that around 44 per cent of exports from India to the US are subject to various kinds of stringent NTBs. Almost one-fourth of the EU's imports from India face such NTBs, while for the world as a whole this share was only 12 per cent. "If tariffs are going to come down, it is inevitable that NTBs will surface," says economist Bibek Debroy. "If there are going to be more countries in the WTO from 23 to 139, there would be more nations who will be part of the NTBs," he adds.

FICCI Secretary General Amit Mitra has no doubt that the next frontier of control over market access in developed countries will be NTBs. "The logic is that with the fall of tariff levels, India should be able to access their